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An Equal Start Line: Financial Education in America

In today's world of economic turbulence students, adults, and educators alike question the current methods for preparing students for the experience of the modern financial system. Many students cannot escape a cycle of debt and financial irresponsibility held within many households. This could be combated by teaching financial education in high school and beyond. This can create new opportunities and drastic positive effects for many, by tackling the root causes of inequality in America.

I as a student in a community college have benefited from financial education in my past, giving me a privilege that many do not get. I was able to make wiser financial decisions, whether choosing what to have for lunch in a week, or how I pay for my tuition, the financial know-how that I have amassed has helped me immensely. In fact, it was one of many factors that led me to pursuing a 2-year education before a 4-year school, which has allowed me to receive an affordable education preparing me for a career. This situation impacted me, along with other students in America, I want others to have the same ability to make wise financial decisions in their lives.

As I have stated above the financial choice which affected me the greatest was the choice of education and its payment, a dilemma which many newly graduated highschoolers come to

face, throughout it is a difficult process which hurt those that are financially illiterate. In a 2014 report by the Brown Center on Education Policy at Brookings called *Are College Students Borrowing Blindly?* The researchers found that a majority students in federal debt underestimated their debt by an upwards of $5,000, while also finding that "… 28% of first-year college students [in federal debt] reported that they did not have any…" (Akers and Chingos 7). This is extremely concerning as "Younger people… start to develop credit behaviors early in life" (Urban, Schmeiser and Collins). Meaning much of the unmindful financial decisions people make in this stage of life, will follow them into future decisions.

The educational aspect of this financial issue is important as well. The effect of financial knowledge from these classes are similar if not larger than similar classes such as English and math (Kaiser, Lusardi and Menkhoff). This creates a psychological environment for students to reflect on their monetary situations and use critical problem-solving skills to perhaps better their situation, this shown by an article in the Harvard Business Review claiming that one of the best ways to build a better relationship with money is to "Educate yourself about concepts. Often, money seems scary because we don't understand it" (Ravishankar). Due to both the personal and practical applications of financial education led to better financial outcomes for students and young adults: such as higher credit scores and a lower rate of credit delinquency (Urban, Schmeiser and Collins). These outcomes create less money lost by people on needless loans for households and less money lost an defaulting loans for corporations, in general this means more money in the economy and tax income for the government leading to better terms for citizens and students which benefit from both outcomes.

Many claim that the largest fault of financial education is human nature, the irrationality and emotional state of human thinking. I however, disagree many of these arguments can be

countered by their own reasoning, the economy is inherently made of human nature due to herd behavior hence why the following arguments will fall apart. A point brought up by many scholars is the Dunning-Kruger effect in our terms, the claim that financial education will lead to a larger difference "…[between] individuals' perceived financial decision-making effectiveness [and] their actual effectiveness…" (Alsemgeest 4). Their claim of overconfidence has some element of truth to it, however financial education has a deep root within critical thinking and logic, in fact it has been found that "…people can sometimes be trained out of their overconfidence…" (Shiller 142). Which is definitely an effect which education in general can have. However, it is still a human trait, thus financial education does not seek to fix any overarching problems with human thinking, but it provides an equal position for all students to make better financial choices.

Another point often made by critics is that today's financial world is overwhelming with too many choices and risk (Willis 228-229). In today's modern world financial education is even more equipped to handle the large variety of investment vehicles, and investment plans that could bring many benefits in future decisions. This also outlines the other importance of financial education today: it doesn't just teach financial literacy, but media literacy and professional skills which create larger impacts on students. Time and time again people have adapted to changes within their environment, financial or otherwise, is shown by the internet boom of the 1990's which made "… us intimately conscious of the pace of technological change" (Shiller 19). And created a new normal within the financial market which we are familiar with today. Schools have adapted to the computer age, there is no reason why financial education wouldn't follow in its footsteps.

Overall, the implementation of financial educational programs in secondary and undergraduate education will have a net positive benefit for young adults and future generations. The increase in positive outcomes and financial knowledge basis creates a strong foundation in many students which leads to them exploring financial options and implementing known strategies to evaluate their positions. The use of this knowledge will help students overcome irrationality and bring effective strategies even within todays modern word. The effect on American students could help alleviate inequality and bring better choices to our evolving economy.

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